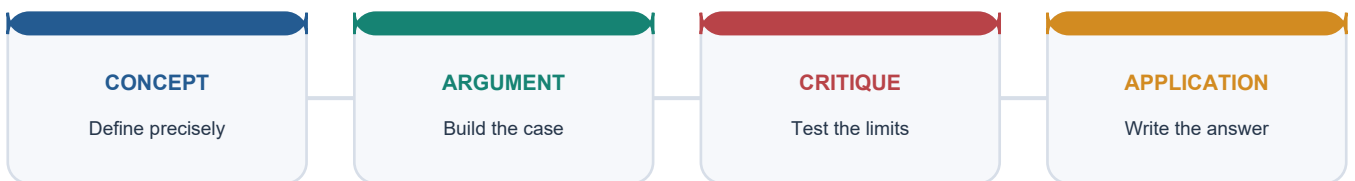


SOLVED PRACTICE WORKBOOK

Inflation, Price Indices and Business Cycles - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Inflation, Price Indices and Business Cycles - Solved Practice Workbook 4

BASIC MCQS / REMEDIATION 4

MCQ 1	4
MCQ 2	4
MCQ 3	5
MCQ 4	5
MCQ 5	5
MCQ 6	6
MCQ 7	6
MCQ 8	6
MCQ 9	7
MCQ 10	7
MCQ 11	7
MCQ 12	8
MCQ 13	8
MCQ 14	8
MCQ 15	9
MCQ 16	9
MCQ 17	9
MCQ 18	10
MCQ 19	10
MCQ 20	10
MCQ 21	11
MCQ 22	11
MCQ 23	11
MCQ 24	12
MCQ 25	12
MCQ 26	12
MCQ 27	13

MCQ 28	13
MCQ 29	13
MCQ 30	14
MCQ 31	14
MCQ 32	14
PYQS AND ANSWER PRACTICE	15
VERIFIED PYQ ROUTES AND KEY DISCIPLINE	15
ORIGINAL MAINS 1 - 10 MARKS	17
ORIGINAL MAINS 2 - 10 MARKS	17
ORIGINAL MAINS 3 - 15 MARKS	18
ORIGINAL MAINS 4 - 15 MARKS	18
ORIGINAL MAINS 5 - 20 MARKS	18
ORIGINAL MAINS 6 - 20 MARKS	19

Inflation, Price Indices and Business Cycles - Solved Practice Workbook

Standalone scope: exactly 32 original MCQs before PYQs, strict ABCD rotation repeated eight times, 128 substantive unique option explanations, 32 unique question-specific traps, official-key discipline and exactly six original Mains model answers.

Practice contract: Exactly 32 original MCQs appear before PYQs. Correct answers follow ABCD repeated eight times. Every option has a substantive, option-specific explanation and every question has a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1

A fall in the inflation rate from 8 per cent to 5 per cent while the CPI still rises is

- A. disinflation
- B. deflation
- C. reflation
- D. hyperinflation

Answer: A.

Option-specific explanations:

- **A - Correct:** Disinflation means positive inflation has slowed, so the price level can still rise.
- **B - Incorrect:** Deflation requires a sustained fall in the general price level, which is not described.
- **C - Incorrect:** Reflation is deliberate support from depressed demand or prices, not ordinary moderation.
- **D - Incorrect:** Hyperinflation is an extreme accelerating rise, the opposite of the stated slowing.

Examiner trap 1: A lower inflation rate is not a lower price level.

MCQ 2

Which description is most accurate?

- A. Reflation is any increase in inflation
- B. Stagflation combines inflation with weak growth or high unemployment
- C. Deflation means slower inflation
- D. Hyperinflation is a one-off food spike

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Reflation is specifically associated with restoring demand or prices from depressed conditions.
- **B - Correct:** Stagflation joins adverse price and activity outcomes, often after a supply shock.
- **C - Incorrect:** Slower positive inflation is disinflation; deflation means the general price level falls.
- **D - Incorrect:** Hyperinflation is broad, extreme and self-reinforcing rather than one relative-price movement.

Examiner trap 2: Stagflation invalidates the assumption that inflation always signals excess demand.

MCQ 3

A broad rise in wages and mark-ups after repeated food shocks is best described as

- A. a pure base effect
- B. deflationary adjustment
- C. second-round or built-in inflation
- D. a change in GDP accounting

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A base effect comes from the comparison period and does not itself create wage-price persistence.
- **B - Incorrect:** Deflation is a falling general price level, not broadening inflation.
- **C - Correct:** Expectations and contracts can propagate an initial shock into persistent general inflation.
- **D - Incorrect:** GDP-accounting changes may alter measurement but do not explain this wage-price mechanism.

Examiner trap 3: Separate the first-round commodity shock from second-round generalisation.

MCQ 4

Which statement about core inflation is correct?

- A. It is always below headline inflation
- B. It is MoSPI's only legally targeted index
- C. It excludes every service price
- D. It is an analytical exclusion measure whose definition must be stated

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Food or fuel deflation can make headline lower than core, so no fixed ordering exists.
- **B - Incorrect:** India's statutory target is headline CPI, not a core index.
- **C - Incorrect:** Core measures usually retain many services and other non-food, non-fuel items.
- **D - Correct:** Core is constructed for underlying-pressure analysis and can vary by exclusion convention.

Examiner trap 4: Never use core inflation without specifying what has been excluded.

MCQ 5

Under MoSPI's current CPI series introduced on 12 February 2026, the base is

- A. 2024=100
- B. 2012=100
- C. 2022-23=100
- D. 2016=100

Answer: A.

Option-specific explanations:

- **A - Correct:** MoSPI introduced CPI 2024=100 for current releases on 12 February 2026.
- **B - Incorrect:** The 2012 series was the preceding CPI base, not the current release base.
- **C - Incorrect:** 2022-23 is the new WPI base, not the CPI base. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** 2016=100 is associated with the current CPI-IW series. It fails this question's stated measure, institution or boundary.

Examiner trap 5: Keep CPI, WPI and labour-index base years separate.

MCQ 6

The expenditure weights of CPI 2024 are primarily derived from

- A. Annual Survey of Industries 2023-24
- B. Household Consumption Expenditure Survey 2023-24
- C. National Accounts Supply Table 2022-23
- D. Working Class Family Income and Expenditure Survey 2016

Answer: B.

Option-specific explanations:

- **A - Incorrect:** ASI concerns industrial establishments and is not the household-consumption weight source.
- **B - Correct:** HCES 2023-24 supplies the consumption shares used in CPI 2024.
- **C - Incorrect:** The Supply Table is relevant to PPI weighting, not CPI household weights.
- **D - Incorrect:** The 2016 family survey underpins CPI-IW, not the all-household CPI 2024.

Examiner trap 6: A base year and a weight-reference survey are related but distinct facts.

MCQ 7

Which combination states MoSPI's CPI 2024 aggregation methods correctly?

- A. Arithmetic mean at every level
- B. Paasche below and Fisher above
- C. Jevons at elementary level and Young/Modified Laspeyres at higher level
- D. GDP deflator below and WPI above

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The official method does not use one arithmetic mean at all levels.
- **B - Incorrect:** Paasche and Fisher are useful concepts but are not the stated CPI 2024 combination.
- **C - Correct:** MoSPI's FAQ names Jevons for elementary indices and Young/Modified Laspeyres higher up.
- **D - Incorrect:** GDP deflator and WPI are separate measures, not CPI aggregation formulae.

Examiner trap 7: Do not replace the official two-level formula with a generic textbook label.

MCQ 8

CPI Combined is produced by

- A. using only urban outlets
- B. adding CPI Rural and Urban without weights
- C. using WPI weights for common commodities
- D. combining rural and urban indices with their corresponding weights

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Combined coverage includes rural as well as urban consumption.
- **B - Incorrect:** An unweighted average would ignore the expenditure importance of rural and urban households.
- **C - Incorrect:** WPI commodity weights belong to a different producer-side architecture.
- **D - Correct:** MoSPI uses the relevant rural and urban weights in the combined index.

Examiner trap 8: Combined does not mean a simple arithmetic average.

MCQ 9

The Consumer Food Price Index is best understood as

- A. a food-focused index within the consumer-price system
- B. WPI Food Index under a different name
- C. core inflation excluding services
- D. a GDP-deflator component

Answer: A.

Option-specific explanations:

- **A - Correct:** CFPI tracks food prices in the consumer-price framework for Rural, Urban and Combined.
- **B - Incorrect:** WPI Food Index combines food articles and manufactured food products in WPI.
- **C - Incorrect:** Core usually excludes food and fuel; it is not CFPI. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** The GDP deflator is derived from national accounts, not a CFPI component.

Examiner trap 9: CFPI and WPI Food Index belong to different price stages and baskets.

MCQ 10

Which pairing is correct as checked on 9 September 2026?

- A. CPI-IW: MoSPI, base 2024
- B. CPI-IW: Labour Bureau, base 2016
- C. CPI-AL: RBI, base 2019
- D. CPI-RL: OEA, base 2022-23

Answer: B.

Option-specific explanations:

- **A - Incorrect:** MoSPI compiles the all-household CPI family, not CPI-IW.
- **B - Correct:** The Labour Bureau's current CPI-IW series uses 2016=100.
- **C - Incorrect:** CPI-AL is a Labour Bureau index, not an RBI product. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** CPI-RL is also Labour Bureau; 2022-23 is the WPI base. It fails this question's stated measure, institution or boundary.

Examiner trap 10: Match each specialised CPI to its compiler and reference population.

MCQ 11

What distinguishes CPI-AL from CPI-RL?

- A. One contains only food and the other only services
- B. One is monthly and the other annual
- C. They represent agricultural-labour and broader rural-labour household baskets respectively
- D. They use WPI commodity weights

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Both baskets cover broader consumption, not mutually exclusive food and services.
- **B - Incorrect:** Both are released as consumer price indices rather than this monthly-annual split.
- **C - Correct:** The population reference differs: agricultural labourers versus rural labourers.
- **D - Incorrect:** Their weights arise from labour-household consumption, not WPI output weights.

Examiner trap 11: Similar rural names do not make the reference populations identical.

MCQ 12

Why can CPI-IW-linked dearness allowance fail to protect every worker?

- A. CPI-IW contains no food
- B. It is a wholesale index
- C. It has no base year
- D. Coverage, basket and indexation apply mainly to specified organised groups, not all informal workers

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Food and beverages carry material weight in CPI-IW. It fails this question's stated measure, institution or boundary.
- **B - Incorrect:** CPI-IW measures retail consumer prices for industrial workers.
- **C - Incorrect:** Its current series has a stated 2016 base. It fails this question's stated measure, institution or boundary.
- **D - Correct:** Many informal workers lack automatic contracts linked to CPI-IW.

Examiner trap 12: An indexation mechanism protects only those covered by its contract and lag.

MCQ 13

Which institution compiles India's WPI?

- A. Office of Economic Adviser, DPIIT
- B. National Statistical Office alone
- C. Reserve Bank of India
- D. Labour Bureau

Answer: A.

Option-specific explanations:

- **A - Correct:** The Office of Economic Adviser in DPIIT compiles and releases WPI.
- **B - Incorrect:** NSO compiles CPI and national accounts rather than WPI.
- **C - Incorrect:** RBI uses price data for policy but does not compile WPI.
- **D - Incorrect:** Labour Bureau compiles specialised worker and labourer CPIs for distinct population groups.

Examiner trap 13: Policy user and statistical compiler are different roles.

MCQ 14

Under the WPI 2022-23 series released for May 2026, which major group has the largest weight?

- A. Primary Articles
- B. Manufactured Products
- C. Fuel and Power
- D. Services

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Primary Articles carry 22.75730, below manufacturing. It fails this question's stated measure, institution or boundary.
- **B - Correct:** Manufactured Products carry 63.12837, the largest major-group weight.
- **C - Incorrect:** Fuel and Power carry 14.11433. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** Services are not a WPI major group. It fails this question's stated measure, institution or boundary.

Examiner trap 14: A goods-only index can still have a dominant manufactured-products weight.

MCQ 15

Which statement about WPI is correct?

- A. It is the household cost-of-living index
- B. It includes all services through Service PPI
- C. It is a goods-only wholesale/basic-price architecture and Service PPIs are separate
- D. It is the statutory inflation target

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Household living costs are represented by consumer indices built around retail consumption.
- **B - Incorrect:** Separate Service PPIs do not become part of WPI. It fails this question's stated measure, institution or boundary.
- **C - Correct:** The official 15 June 2026 release distinguishes WPI from seven Service PPIs.
- **D - Incorrect:** The statutory target uses headline CPI. It fails this question's stated measure, institution or boundary.

Examiner trap 15: Do not smuggle separate PPI services into the WPI basket.

MCQ 16

The official 15 June 2026 transition statement implies that

- A. WPI ceased immediately in May 2026
- B. only the old WPI base remains valid
- C. PPI was abandoned
- D. WPI and PPI coexist for five years before the announced WPI discontinuation

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The release expressly provides a transition period rather than immediate cessation.
- **B - Incorrect:** The 2011-12 series was replaced by the 2022-23 series. It fails this question's stated measure, institution or boundary.
- **C - Incorrect:** Output, Input and selected Service PPIs were introduced, not abandoned.
- **D - Correct:** The dated plan allows contractual users time to move from WPI to PPI.

Examiner trap 16: State an announced transition as dated status, not as a completed future event.

MCQ 17

The GDP deflator is calculated as

- A. nominal GDP divided by real GDP, multiplied by 100
- B. CPI divided by WPI
- C. real GDP divided by nominal GDP
- D. exports divided by imports

Answer: A.

Option-specific explanations:

- **A - Correct:** This ratio is the national-accounts implicit price deflator.
- **B - Incorrect:** CPI and WPI compare different baskets and do not form the deflator.
- **C - Incorrect:** The inverse would move oppositely and is not the conventional formula.
- **D - Incorrect:** Trade ratios have no role in the deflator identity. It fails this question's stated measure, institution or boundary.

Examiner trap 17: Use consistent current-price and constant-price GDP vintages.

MCQ 18

Which item is directly outside the GDP deflator's domestic-production boundary?

- A. A domestically produced exported machine
- B. An imported final consumer good
- C. A government-produced service
- D. A domestically produced construction service

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Exports are domestic output and therefore enter GDP. It fails this question's stated measure, institution or boundary.
- **B - Correct:** Imports are excluded from domestic production, though they can enter CPI consumption.
- **C - Incorrect:** Government non-market services are included through national-account valuation.
- **D - Incorrect:** Domestic construction is part of output. It fails this question's stated measure, institution or boundary.

Examiner trap 18: The GDP deflator follows production, not residents' purchases.

MCQ 19

A Laspeyres price index uses

- A. current quantities in both periods
- B. no quantity weights
- C. base-period quantities as weights
- D. the geometric mean of two price indices by definition

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Current quantities define a Paasche-type comparison. It fails this question's stated measure, institution or boundary.
- **B - Incorrect:** Every aggregate price index requires a weighting structure to combine unlike items.
- **C - Correct:** Laspeyres reprices the fixed base-period basket using current-period prices.
- **D - Incorrect:** The geometric mean of Laspeyres and Paasche is Fisher. It fails this question's stated measure, institution or boundary.

Examiner trap 19: The basket period, not merely the price period, identifies the formula.

MCQ 20

The Fisher ideal index equals

- A. Laspeyres minus Paasche
- B. Paasche divided by Laspeyres
- C. the arithmetic mean of current and base prices
- D. the square root of the product of Laspeyres and Paasche

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Subtraction has no role in the standard Fisher formula.
- **B - Incorrect:** A ratio would measure divergence, not the Fisher index.
- **C - Incorrect:** Fisher combines indices, not raw prices by this rule. It fails this question's stated measure, institution or boundary.
- **D - Correct:** The geometric mean balances base- and current-weighted measures.

Examiner trap 20: Fisher's symmetry comes with greater current-quantity data needs.

MCQ 21

A standard substitution-bias concern with a fixed base basket is that it may

- A. miss consumers shifting away from relatively costlier items
- B. exclude all services automatically
- C. convert retail prices into wholesale prices
- D. make the index equal the GDP deflator

Answer: A.

Option-specific explanations:

- **A - Correct:** Fixed weights can retain purchases that consumers reduce after relative-price changes.
- **B - Incorrect:** Service coverage depends on the basket, not fixed-weight mathematics.
- **C - Incorrect:** Price stage is determined by index design, not substitution.
- **D - Incorrect:** The GDP deflator has a changing domestic-output composition.

Examiner trap 21: Substitution bias is about behaviour after relative-price change.

MCQ 22

A favourable base effect can reduce year-on-year inflation even when

- A. the current price index is zero
- B. the current month's price level has not fallen
- C. all item weights are removed
- D. nominal GDP equals real GDP

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Price indices are not required to become zero for annual inflation to fall.
- **B - Correct:** A high comparison-period level can lower the annual rate without current deflation.
- **C - Incorrect:** Weights remain necessary to aggregate price relatives. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** GDP equality concerns a deflator base condition, not CPI base effects.

Examiner trap 22: Base arithmetic changes a rate, not the accumulated cost of living.

MCQ 23

Which is a quality-change problem for inflation measurement?

- A. A policy-rate vote
- B. A fiscal deficit
- C. A new phone model offers much greater capability at a higher price
- D. A fall in unemployment

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Monetary governance is not an index-number product-comparison formula problem.
- **B - Incorrect:** Fiscal balance affects demand but is not itself quality adjustment.
- **C - Correct:** The compiler must separate payment for improved quality from pure price increase.
- **D - Incorrect:** Labour-market change belongs to cycle analysis. It fails this question's stated measure, institution or boundary.

Examiner trap 23: A new product's higher sticker price is not automatically pure inflation.

MCQ 24

Why should old-base and new-base index levels not be directly spliced?

- A. Because inflation cannot be measured after rebasing
- B. Because every rebasing lowers inflation
- C. Because official back series are illegal
- D. Because baskets, weights and methods can differ across the series break

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Rebasing is designed to improve continuing measurement with a more representative reference structure.
- **B - Incorrect:** Its effect on measured inflation is empirical, not mechanically downward.
- **C - Incorrect:** Official linking and back series are precisely the safe bridge.
- **D - Correct:** Raw levels may represent different reference structures and therefore lack direct comparability.

Examiner trap 24: A base revision is a measurement update, not a price shock.

MCQ 25

Using the Fisher approximation, an 8 per cent nominal interest rate and 5 per cent expected inflation imply an ex ante real rate of about

- A. 3 per cent
- B. 13 per cent
- C. 5 per cent
- D. -3 per cent

Answer: A.

Option-specific explanations:

- **A - Correct:** The approximation is nominal minus expected inflation: 8 minus 5.
- **B - Incorrect:** Adding inflation gives a nominal-plus-inflation number, not the real rate.
- **C - Incorrect:** Expected inflation alone is not the real return. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** The sign would be negative only if expected inflation exceeded the nominal rate.

Examiner trap 25: Ex ante real interest uses expected, not necessarily realised, inflation.

MCQ 26

Unexpected inflation under a fixed-rate nominal loan generally

- A. benefits the lender because money gains purchasing power
- B. reduces the real burden on the borrower and the real return to the lender
- C. leaves both parties unaffected
- D. guarantees the borrower a higher income

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Inflation lowers the purchasing power transferred through fixed nominal repayments.
- **B - Correct:** The same nominal repayment transfers less real value from borrower to lender.
- **C - Incorrect:** A nominal contract is affected when actual inflation differs from expectation.
- **D - Incorrect:** Debt relief does not guarantee that the borrower's income rises.

Examiner trap 26: The redistribution result changes for floating-rate or indexed contracts.

MCQ 27

Inflation tax most directly describes

- A. a statutory surcharge on capital gains
- B. every increase in indirect tax
- C. erosion of the real value of non-interest-bearing money balances
- D. the RBI's policy rate

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A legislated capital-gains charge is an explicit tax, not the inflation-tax concept.
- **B - Incorrect:** Indirect taxes can raise prices but are not synonymous with inflation tax.
- **C - Correct:** Money holders lose real purchasing power as the price level rises.
- **D - Incorrect:** The repo rate is a monetary-policy instrument. It fails this question's stated measure, institution or boundary.

Examiner trap 27: Inflation tax is an economic incidence, not necessarily a tax statute.

MCQ 28

Which statement about indexed contracts is strongest?

- A. They eliminate every distributional effect of inflation
- B. They always use WPI
- C. They guarantee a positive real return
- D. They reduce exposure to the named index but retain basis, lag and coverage risks

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Unindexed assets, taxes, timing and employment can still redistribute.
- **B - Incorrect:** Contracts may use CPI-IW, CPI or another benchmark. It fails this question's stated measure, institution or boundary.
- **C - Incorrect:** Indexation can preserve a benchmark relation but not guarantee all real outcomes.
- **D - Correct:** The chosen index may differ from the person's basket and update after a delay.

Examiner trap 28: Indexation transfers index-design risk into the contract.

MCQ 29

The expectations-augmented Phillips curve implies that

- A. a short-run trade-off may exist, but it cannot be permanently exploited after expectations adjust
- B. higher inflation permanently fixes structural unemployment
- C. supply shocks always reduce inflation
- D. the long-run curve is horizontal

Answer: A.

Option-specific explanations:

- **A - Correct:** Unexpected demand changes can affect output temporarily; adjustment removes a permanent trade-off.
- **B - Incorrect:** Skills, matching and institutions are not repaired by surprise inflation.
- **C - Incorrect:** Adverse supply shocks can raise inflation and unemployment together.
- **D - Incorrect:** The long-run formulation is conventionally vertical at the equilibrium unemployment rate.

Examiner trap 29: Short-run non-neutrality does not imply a permanent policy menu.

MCQ 30

NAIRU is best described as

- A. the legally mandated minimum unemployment rate
- B. an estimated unemployment rate consistent with non-accelerating inflation
- C. the unemployment rate at every trough
- D. the same as zero unemployment

Answer: B.

Option-specific explanations:

- **A - Incorrect:** No statute fixes a universal NAIRU. It fails this question's stated measure, institution or boundary.
- **B - Correct:** It is an estimated equilibrium concept tied to stable inflation dynamics.
- **C - Incorrect:** A cyclical trough need not equal the structural unemployment benchmark.
- **D - Incorrect:** Frictional and structural unemployment make zero an inappropriate identity.

Examiner trap 30: NAIRU is uncertain and can change with labour-market structure.

MCQ 31

Which phase sequence is a valid stylised business cycle?

- A. Peak -> expansion -> recovery -> trough
- B. Recovery -> recession -> expansion -> peak
- C. Trough -> recovery -> expansion -> peak -> contraction
- D. Inflation -> CPI -> WPI -> GDP

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Expansion normally precedes the peak rather than follows it.
- **B - Incorrect:** Recovery normally leads into broader expansion rather than directly into another recession.
- **C - Correct:** The sequence correctly moves from low activity through expansion to downturn.
- **D - Incorrect:** Price indices are measures, not cycle phases. It fails this question's stated measure, institution or boundary.

Examiner trap 31: Actual cycles are irregular even when the teaching sequence is stylised.

MCQ 32

Why is the two-negative-quarter rule insufficient by itself for India?

- A. India has no quarterly GDP estimates
- B. Only WPI can date a recession
- C. Annual growth can never be used
- D. Seasonal adjustment, breadth, revisions and the absence of one statutory dating committee require a wider dashboard

Answer: D.

Option-specific explanations:

- **A - Incorrect:** MoSPI publishes quarterly national accounts. It fails this question's stated measure, institution or boundary.
- **B - Incorrect:** WPI is a price index and cannot alone date activity cycles.
- **C - Incorrect:** Annual data remain relevant, though less timely for turning points.
- **D - Correct:** A technical rule is a shorthand and does not establish severity or economy-wide diffusion.

Examiner trap 32: State whether growth is year-on-year or seasonally adjusted quarter-on-quarter.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ ROUTES AND KEY DISCIPLINE

The following seven demands are retained from the repository's audited routing ledgers and local official-paper OCR. No final official/local answer key is available here for the four objective questions, and UPSC does not publish official model answers for the three descriptive questions. Therefore every verified PYQ carries the exact withholding sentence rather than an inferred official answer.

PYQ 1 - UPSC Mains 2019, GS Paper III, Question 2

Question: Do you agree with the view that steady GDP growth and low inflation have left the Indian economy in good shape? Give reasons in support of your arguments. (Answer in 150 words)

Answer withheld pending official UPSC key.

Answer route: Define the apparent favourable combination; test employment, investment, credit, distribution and sectoral balance; distinguish cyclical low inflation from demand weakness; conclude that headline aggregates require a broader macro dashboard.

PYQ 2 - UPSC Prelims 2020, GS Paper I, Question 67

Question: Consider the following statements:

1. The weightage of food in Consumer Price Index (CPI) is higher than that in Wholesale Price Index (WPI).
2. The WPI does not capture changes in the prices of services, which CPI does.
3. Reserve Bank of India has now adopted WPI as its key measure of inflation and to decide on changing the key policy rates.

Which of the statements given above is/are correct?

- A. 1 and 2 only
- B. 2 only
- C. 3 only
- D. 1, 2 and 3

Answer withheld pending official UPSC key.

Concept audit: Apply the series applicable to the question year, distinguish consumer and wholesale coverage, and do not retrofit the 2026 base revisions into a 2020 paper.

PYQ 3 - UPSC Prelims 2021, GS Paper I, Question 4

Question: Consider the following statements. Other things remaining unchanged, market demand for a good might increase if:

1. the price of its substitute increases;
2. the price of its complement increases;
3. the good is an inferior good and income of the consumers increases;
4. its price falls.

Which of the above statements are correct?

Answer withheld pending official UPSC key.

Concept audit: A substitute-price increase and own-price fall can raise demand or quantity demanded respectively; a complement-price increase and higher income for an inferior good work in the opposite direction. Preserve the demand-versus-quantity-demand distinction.

PYQ 4 - UPSC Prelims 2021, GS Paper I, Question 10

Question: Which one of the following is likely to be the most inflationary in its effects?

- A. Repayment of public debt
- B. Borrowing from the public to finance a budget deficit
- C. Borrowing from banks to finance a budget deficit
- D. Creation of new money to finance a budget deficit

Answer withheld pending official UPSC key.

Concept audit: Compare direct reserve-money creation with financing that reallocates existing purchasing power; retain the qualification that final inflation also depends on slack, velocity and supply.

PYQ 5 - UPSC Prelims 2021, GS Paper I, Question 12

Question: With reference to the Indian economy, demand-pull inflation can be caused or increased by which of the following?

1. Expansionary policies
2. Fiscal stimulus
3. Inflation-indexing wages
4. Higher purchasing power
5. Rising interest rates

Answer withheld pending official UPSC key.

Concept audit: Separate initial aggregate-demand impulses from persistence mechanisms and contractionary interest-rate effects.

PYQ 6 - UPSC Mains 2022, GS Paper II, Question 16

Question: Besides the welfare schemes, India needs deft management of inflation and unemployment to serve the poor and the underprivileged sections of the society. Discuss. (Answer in 250 words)

Answer withheld pending official UPSC key.

Answer route: Link food-weighted real-income loss, unindexed informal work, the employment cost of blunt disinflation, supply repair, labour-intensive growth, skills and targeted protection.

PYQ 7 - UPSC Mains 2024, GS Paper III, Question 2

Question: What are the causes of persistent high food inflation in India? Comment on the effectiveness of the monetary policy of the RBI to control this type of inflation. (Answer in 150 words)

Answer withheld pending official UPSC key.

Answer route: Classify production, climate, storage, logistics, trade, imported-input and expectation channels; credit RBI for anchoring second-round effects but assign physical bottlenecks to fiscal and supply policy.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish inflation, disinflation, deflation, reflation and stagflation. Answer in 150 words.

Model answer:

Inflation is a sustained rise in the general price level; its rate is the percentage change in a stated index. Disinflation means this positive rate falls, so prices may still rise. Deflation is a sustained fall in the general price level and can increase real debt burdens and weaken output. Reflation is deliberate policy support to restore demand and prices from depressed conditions. Stagflation combines inflation with stagnant output and weak employment, often after an adverse supply shock.

India's pandemic experience shows why the distinctions matter: logistics disruption raised essential prices despite slack. Demand-led inflation supports restraint; supply-led stagflation requires bottleneck repair plus credible expectation management. A single commodity spike is not automatically general inflation, while lower inflation does not restore the old price level. Precise vocabulary is therefore the first step in policy assignment.

ORIGINAL MAINS 2 - 10 MARKS

Question: Compare CPI, WPI and the GDP deflator as inflation measures. Answer in 150 words.

Model answer:

CPI measures retail prices of a representative household-consumption basket. It includes goods, services and imported consumption; headline CPI is India's policy anchor. MoSPI introduced the current 2024=100 series on 12 February 2026 with HCES 2023-24 weights.

WPI, compiled by the Office of Economic Adviser, DPIIT, tracks wholesale/basic prices of goods and excludes services. Its 2022-23-base series was released for May 2026. It signals commodity and pipeline cost pressure but is not a household cost-of-living index.

The GDP deflator equals nominal GDP divided by real GDP multiplied by 100. It covers domestically produced final goods and services, excludes imports directly and has a changing production mix. It is broad but revised with national accounts and less timely monthly. Thus CPI suits consumer welfare and targeting, WPI pipeline analysis, and the deflator domestic-output prices.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain the major sources of inflation in India and show how headline, core, food and fuel measures aid diagnosis. Answer in 250 words.

Model answer:

Inflation is a sustained rise in the general price level, but its policy meaning depends on source, breadth and persistence. Demand-pull inflation arises when aggregate spending exceeds available capacity; fiscal stimulus, rapid credit growth or strong purchasing power can close the output gap. Cost-push inflation follows higher wages, taxes, freight or input prices. Supply shocks arise from crop loss, storage and transport failures or administered-price changes. Imported inflation transmits global crude, edible-oil, fertiliser and freight costs through the exchange rate and domestic supply chains.

Headline CPI records the full consumer basket and therefore captures the prices households actually face. CFPI isolates food pressure, while fuel components reveal energy pass-through. Core inflation, conventionally headline excluding food and fuel, helps assess underlying persistence; however, it is an analytical construct and can itself be distorted by unusual items. Economic Survey 2025-26, for example, examined precious metals when interpreting core pressure.

The categories interact. A vegetable shock is initially relative and supply-led, but repeated shocks can alter wages, margins and expectations. Rural inflation may also be more volatile because food has a larger budget role. Policy must therefore combine RBI action against broad demand and second-round effects with buffers, logistics, calibrated trade, tax measures and productivity improvements. The qualification is crucial: no component is dispensable, and no single index reproduces every household's experienced inflation.

ORIGINAL MAINS 4 - 15 MARKS

Question: Examine the welfare and distributional effects of inflation through real wages, interest rates, debt and indexation. Answer in 250 words.

Model answer:

Inflation changes welfare by altering real purchasing power and the value of nominal contracts. A worker whose money wage rises more slowly than CPI suffers a real-wage loss. The same applies to pensions and fixed incomes, with a sharper burden on poorer households because food and fuel occupy larger budget shares and cash forms a greater share of liquid wealth.

The Fisher relation shows the interest channel: the ex ante real rate is approximately the nominal rate minus expected inflation. Unexpected inflation lowers the real value of fixed nominal repayment, benefiting a fixed-rate borrower and hurting the lender; unexpected deflation reverses the transfer. This result is not universal because floating rates reprice and borrowers may lose employment or income during tightening.

Inflation tax is the erosion of real non-interest-bearing money balances. Governments may receive seigniorage or nominal tax gains, but also face higher indexed expenditure, welfare pressure and borrowing costs. CPI-IW-linked dearness allowance protects many covered employees and pensioners, demonstrating the value of indexation. Yet informal workers often lack such protection, and every indexed contract retains basis and adjustment-lag risk.

Thus inflation is distributional, not merely aggregate. Policy should anchor expectations, protect vulnerable households through targeted support and avoid assuming that one national CPI matches every household's basket or that all borrowers gain.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically examine the Phillips curve and output gap as guides to inflation management in India. Answer in 250 words.

Model answer:

The short-run Phillips curve links lower economic slack with stronger wage and price pressure. Where wages and prices adjust slowly, unexpected demand expansion can temporarily raise output and employment, creating an inverse inflation-unemployment relation. The output gap operationalises this logic by comparing actual output with estimated potential output.

Expectations limit the trade-off. Workers and firms incorporate expected inflation into contracts and price setting, shifting the short-run curve. In the long run, unemployment returns toward a structural or equilibrium rate, producing a vertical long-run Phillips curve. NAIRU describes the estimated unemployment rate consistent with non-accelerating inflation; it is neither directly observable nor socially optimal.

Indian evidence requires caution. RBI's November 2021 Bulletin study found a convex Phillips curve, flatter at low or negative gaps and steeper at high positive gaps. This supports stronger demand pressure near capacity. Yet food, fuel, administered prices, informality and imported shocks can raise inflation during slack, as the pandemic illustrated. Potential output is also model-dependent and revised with national accounts.

Therefore the curve and gap are useful inputs, not automatic rules. RBI should combine them with inflation expectations, breadth, credit and external conditions. Government must address agriculture, logistics and energy supply. The qualified conclusion is that stabilisation works best when demand management anchors persistence while structural policy expands potential output.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design a coordinated Indian policy response to persistent food and imported inflation without sacrificing medium-term growth. Answer in 250 words.

Model answer:

Persistent food and imported inflation requires diagnosis before restraint. Separate crop and weather losses, perishability, storage and transport gaps, market concentration, trade-policy uncertainty, global commodity prices, freight, exchange-rate pass-through and second-round expectations. CFPI and item-level CPI identify household pressure; WPI goods groups reveal pipeline costs, but neither alone proves the source.

Immediate policy should protect consumption and unblock supply. Transparent buffer releases, faster inter-state movement, anti-hoarding enforcement and calibrated imports can address temporary shortages. Targeted transfers or food support protect vulnerable households without universal price suppression. Fuel-tax or subsidy adjustment may soften imported energy pass-through, but its fiscal cost and conservation effect must be explicit.

Medium-term policy should improve irrigation, climate-resilient seeds, storage, cold chains, market information, competition, processing and energy diversification. Predictable trade rules preserve producer incentives better than abrupt bans. Public investment that raises logistics and farm productivity shifts potential supply outward.

RBI should anchor headline-CPI expectations and prevent food or fuel shocks from spreading into wages and margins. Rate policy, however, cannot produce vegetables or crude oil; excessive tightening during slack can harm MSMEs and jobs. Fiscal support must remain targeted so it does not recreate excess demand.

The optimal mix is therefore sequenced: relief and logistics now, credible monetary signalling against persistence, and productivity-enhancing supply reform for durable price stability with growth.